CASE STUDY

Transformation

# So Close to Glory

## A skilled-trades contractor turnaround and a failed exit



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8 min read

On the night of December 18, 2019, I was in Saudi Arabia and moving my household from one villa in a compound to another. I put the boxes in the appropriate rooms, hung our clothes in the closets, and even put some things in the freezer. By 8 pm, the movers were gone. I showered, went to the airport, and got on a flight to come home to Canada for Christmas. I have never been back.

Normally, I would go home for a couple of weeks over Christmas and then return. That year, I stayed longer. By March 2020, the pandemic had disrupted travel, and returning to Saudi Arabia was not an option.

I met with an owner-operator (we'll call him Bob) whom I had known for a long time. He ran a 25-person skilled-trades contractor. When I asked how things were going, he said, "Not well." Here's the backstory. Bob had run the family business successfully for many years before turning it over to his son. That's when the problems began.

## The Situation

While his son ran the business, the company's financial condition deteriorated, the bank cut off credit support, and Bob had to prop up the company financially several times. Instead of receiving payments from his son, money was flowing the other way. By August 2019, the situation had reached a crisis point. A large condo project that was poorly bid, seriously behind schedule, and over budget to the point that the general contractor threatened legal action put the company's viability in jeopardy. Bob exercised his rights, retook control, and his son exited from the business.

## Critical Comes First

When Bob retook the reins, he followed step #1 in any transformation: deal with what can kill you. In this case, it was the condo project. He changed the project team, established clear task-completion targets, and had the team work the additional hours required to recover the schedule. He also improved on-site communication with the general contractor's project manager.

The condo project took more than a year to complete. By the time I joined in March 2020, Bob had brought it largely under control. He continued working at the site full-time, while I focused on improving daily operations. For the next four years, I worked full-time as his partner, addressing the operational problems that had accumulated across the business. At the top of my list was the ERP system.

Bob's son bought a program believing it would make the company more efficient. It had the opposite effect. It was a classic case of being an unsuitable program for the size of the organization (the program was enterprise-grade; the company was not), inadequate training, and no overlap in system operations during the transition from one system to another. Instead, it was a flip of the switch. And a disaster.

I discovered, among many other things, that even a year after buying the program, payroll allocations were still not being done right (staff were paid correctly, but it wasn't recorded correctly in the accounts). The system also produced inaccurate financial statements. I made accurate information a priority. Employees received additional training, software support developed the reports we needed, and I reconciled the monthly financial statements against bank records and operating data until they were right. Reliable information laid the foundation for assessing performance.

## Urgent Issues Around People and Processes

The next group of issues I put into the 'urgent' category. The son's command-and-control style contributed to poor morale and restricted the flow of information from the field. Bob took an open-door approach to encourage communication. As well, we:

- ✓ updated the employee handbook to clarify employee and employer expectations;
- ✓ introduced quarterly coaching sessions for two-way feedback; and
- ✓ established training nights to improve employee capabilities.

Asking employees for feedback creates an obligation to act on it. We reviewed their recommendations, implemented changes, and communicated those changes back to the team. The company had to adapt its own practices to support employee performance.

Workflows also needed attention. Unclear responsibilities had led to slow response times, missed work, and completed but unbilled work orders. I mapped the workflow, assigned

responsibility for each task, improved the ERP tools to track work orders for timeliness and completion, and developed KPIs to measure performance.

## Cash Is Oxygen

Low working capital was causing liquidity problems. I discovered two billing problems that were impacting cash generation: missing work orders and delays in invoicing completed work.

Many work orders were completed, but the employee didn't submit them. Maybe he forgot the paperwork in the truck, spilled coffee on it, or the dog ate it. Who knows? Doesn't matter. The problem was that the ERP system wasn't set up to track open work orders. The system was capable, but no one knew how to use it that way. A related problem was that hours recorded on work orders and hours submitted for payroll were separate processes. Employees recorded job hours on work orders and submitted weekly timesheets for payroll. I eliminated the separate timesheets and made work-order hours the source of truth for payroll. No work order, no hours. The paperwork started coming in. Employees continued to be paid, and HR followed up on missing paperwork to close the payroll cycle.

Another major problem was that work orders weren't getting billed fast enough. The lag between when the employee handed in the work order (signaling completion) and when we billed the customer often exceeded a month. Literally hundreds of work orders sat on the billing clerk's desk. Customers often called wondering where the invoice was. That pile of unbilled work orders needed to be attacked. I simplified the billing process, expanded the billing clerk's decision-making authority (trust your employees to do the right thing), and set up ERP reporting tools to show the time from work order completion to billing. This became a KPI for the billing team.

Accounts receivable is your cash sitting in someone else's bank account, making it an obvious place to improve cash flow. Two simple, long-used tools for managing accounts receivable were not being used. First, produce a monthly aged receivables list so you know who owes you. Second, call the customer and ask for payment. Simple and effective, but too often ignored.

Quoted jobs were a big part of the business, and to improve cash flow, I increased down payments, shortened payment schedules, and closely tracked profit margins against the quote. I reviewed any project that didn't meet budget with the team.

Accounts payable is also a way to manage cash flow. Initially, we negotiated longer payment terms with key suppliers. As our cash position improved, I put all major suppliers on early-payment discounts. Picking up 2% on each supplier invoice adds up quickly and measurably improves profitability.

## Important Issues Around Operating Performance

Years of underinvestment in the vehicle fleet had created reliability problems and high operating costs. We began a fleet-renewal program, including acquiring electric vehicles, to reduce fuel consumption and maintenance costs. I tracked operating costs and reliability to assess progress.

I also changed how the company pursued work. Randomly submitting bids to general contractors you don't know, hoping to be the lowest bidder, is a doomed strategy. Pursue work where you have a competitive advantage and key relationships.

I initiated efforts to improve our relationship with the condo project's general contractor at the ownership level. I also introduced value engineering, showing how changes in design, purchasing, and execution could reduce project costs. The general contractor that had threatened legal action became a strategic partner and subsequently awarded us millions of dollars in projects using that approach.

Throughout the turnaround, we applied a repeatable management process: set expectations, measure performance, provide feedback, adjust, repeat. We used it to manage project schedules, work orders, employee development, cash flow, and operating costs.

Eventually, a dashboard of more than 20 KPIs covered Service, Projects, and corporate performance. Managers could assess results within each part of the business and follow through on the issues the information revealed.

## Transformation Results

After four years, the results demonstrated the effect of the changes:

| 2× | 4× | 10× |
|---|---|---|
| Revenue doubled | Retained earnings quadrupled | Working capital increased tenfold |

- ✓ Debt declined and fixed assets increased.
- ✓ Employee morale improved, and turnover declined.
- ✓ Better sales and marketing supported revenue growth, and stronger relationships with general contractors produced significant project awards.

The business had reached a point where we could prepare it for sale and capture the value we had created.

## The Sale

I found a buyer who understood the trade. He had limited experience with banks and acquisition financing, so I worked with him and the bank to arrange financing. After many meetings, including with spouses, to ensure the parties aligned on the principles of operating a business, we agreed on the terms of the sale. The bank's credit department approved the loan package, the financing terms were agreed, and the loan documents were prepared and ready for signature.

Bob then chose not to close the deal. He had spent much of his working life in the company and could not imagine his life without the business. He walked away from millions of dollars and instead elected to bring the prospective buyer into the company as a partner and give him responsibility for running it. My involvement ended at that point.

## What Happened Next

The operating tools, management disciplines, and governance practices developed during the turnaround were subsequently abandoned. The new partner was given freedom to operate without the governance and controls that had supported the company's recovery. Losses followed. Instead of the company having access to credit lines, Bob had to fund the business personally. This is a great example of the adage that banks will lend you money when you don't need it and deny you when you do.

## What I Learned

Prioritize the threats. Classifying issues as critical, urgent, and important establishes where to put time and resources.

Build the tools the team needs to identify problems and guide corrective action with reliable information, clear responsibilities, and KPIs. Regular feedback helps both employees and the organization improve performance.

Pursue the exit while the company's performance supports acquisition financing. The turnaround made the buyer's approved loan package possible, but the opportunity to complete the sale was lost when Bob chose not to proceed.

Maintain governance through leadership changes. Running a company comes with an obligation to maintain oversight, controls, and accountability. Those disciplines are essential to the company's continuity.

Creating value and realizing it are separate steps. A sale is complete when it closes, and the cash is in your account. An owner's readiness to leave deserves as much attention as the buyer's readiness to take over.

So close to glory.



## ABOUT THE AUTHOR

**Dan McLaughlin** Founder and CEO, Tressling.ai

Since founding Tressling in 2003, Dan McLaughlin has been an operator, investor, and advisor. As an owner-operator, he has scaled businesses in construction, real estate, and manufacturing. As Chief Investment Officer of SASCO Global Investments, he led investment decisions for a US$400 million fund, and as an advisor he has structured more than US$1 billion in debt and equity financings. He also held senior roles in restructuring at PwC and in international finance and restructuring at Bombardier Aerospace.

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